

DDD · FY2025 Q4

3D Systems Corporation · 35 turns · 7 participants

CAST (IN ORDER OF APPEARANCE)**Operator**

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Analyst, Needham & Company

OPERATOR Operator

Greetings, and welcome to the 3D Systems fourth quarter and full year 2025 earnings conference call. At this time, all participants are in listen-only mode. As a reminder, this conference is being recorded. If anyone should require operator assistance, please press star zero on your telephone keypad. A question and answer session will follow the formal presentation, and you may press star one to be placed into question queue at any time. It's now my pleasure to turn the call over to Monica Gould, Vice President, Investor Relations. Please go ahead, Monica.

MONICA GOULD Vice President, Investor Relations

Hello, and welcome to 3D Systems' fourth quarter and full year 2025 earnings conference call. With me on today's call are Dr. Jeffrey Graves, President and CEO, and Phyllis Nordstrom, Interim CFO. The webcast portion of this call contains a slide presentation that we will refer to during the call. Those following along on the phone who wish to access the slide portion of this presentation may do so on the investor relations section of our website. The following discussion and responses to your questions reflect management's views as of today only and will include forward-looking statements as described on this slide. Actual results may differ materially. Additional information about factors that could potentially impact our financial results is included in our latest press release and our filings with the SEC, including our most recent annual report on Form 10-K and quarterly reports on Form 10-Q. During this call, we will discuss certain non-GAAP financial measures. In our press release and slides accompanying this webcast, you will find additional disclosures regarding these non-GAAP measures, including reconciliations with comparable GAAP measures. Finally, unless otherwise stated, all comparisons in this call will be against our results for the comparable periods of 2024. With that, I'll turn the call over to our CEO, Jeff Graves, for opening remarks.

DR. JEFFREY GRAVES President and CEO

Thank you, Monica, and good morning, everyone. Having executed well on both our 2025 savings initiatives and new product launches, I'm pleased to report a stronger finish to 2025, with momentum continuing to build as we move into 26. I'll start today by reviewing a few highlights from our fourth quarter and provide some comments on overall market conditions as we enter the new year. I'll then focus very specifically on our strategy and key growth initiatives, the early stages of which you can see reflected even now in our operating trends. After this, I'll turn things over to our interim CFO, Phyllis Nordstrom, to provide details on the quarter's financials. When Phyllis concludes, we'll open the call for Q&A. So, let's turn to slide five. Despite global economic and geopolitical challenges that have translated to restraint in CapEx spending by our customers for some time now, we've been able to balance the need for significant

cost reduction with the requirement for continuity in key R&D programs that are essential to long-term growth and value creation for our customers and shareholders alike. I'm extremely proud of our employees and their ability to execute this balance day-to-day over the last two years. and I'm pleased to see the results of their hard work and creativity now entering the market. These efforts are allowing us to refresh our installed base of printers, which is the largest and most diverse in the world, and launch exciting new products and applications that provide extraordinary value to our customers. Importantly, during a period in our industry where cost savings are imperative, we've reduced overall operating costs, while selectively doubling down on those industries where additive manufacturing is poised to reshape the market and where we have a unique competitive advantage. I'll provide specific details on these markets in a few moments, and Phyllis will summarize the impact of both our cost actions and growth initiatives on our financial performance and trends. Slide six. I'll start by reviewing our highlights from the fourth quarter. Consistent with past years, we had seasonally strong Q4 in our historic markets. But what was unusual this year was the additional top-line benefits specifically related to our three key growth initiatives. Given their importance, I'll cover these key growth areas in some detail in a few moments. Overall revenue increased 16% sequentially, above our guidance of 8% to 10% growth. From a product standpoint, these results reflect a strengthening of both our printer and material sales, driven by key new product launches over the last year in both our industrial and healthcare businesses. Now, let me give you a little more insight into what drove this strength, beginning with changes in our historic markets. Within our industrial solutions business, we saw sequential double-digit growth in several of our more traditional consumer-oriented end markets, including both automotive and jewelry manufacturing. In automotive, this growth reflected the impact of our newest SLA printing platform, specifically our dual laser SLA 750 that we launched just over a year ago, which is the most precise and productive industrial-scale SLA printer in the market today. It's being adopted preferentially in both motorsports and in consumer automotive OEMs, delivering significant improvements in productivity in their development labs. The strong sequential growth in jewelry was driven by the recent launch of our new wax printer, the MJP300W+, which delivers significantly improved accuracy and surface finish in wax patterns that are central to the casting process. These factors are very important to manufacturers as they provide dramatic reductions in gold loss during final polishing of the product, particularly at a time when gold prices are at record levels. An interesting note with regard to gold jewelry is the rate at which the entire industry is now adopting additive manufacturing, which allows for virtually limitless customization of designs without increasing the cost of the product, or in some cases even reducing it. Anticipating these inflection points in an industry is essential in order to capitalize on the rapid CapEx investments that follow. disproportionately benefiting those companies that are well-positioned to meet this rise in demand from its outset. With our industry-leading application engineering team, we're experts at doing just this. Within our healthcare solutions business, we saw sequential growth in dental material sales driven largely by stabilization of demand for aligners. We're also beginning to see sales from the commercial release of our new NextDent jet indenture platform. which is being very well received in the market, and I'll offer some more comments in a moment. Looking beyond these trends in our traditional markets, I'd like to now spend a few minutes on what I believe are the three most exciting growth markets that are opening before us. These are aerospace and defense, personalized health services, and dental. Applications within these markets greatly benefit from additive manufacturing in that their performance is greatly enhanced by mass customization of design. And with the latest evolution of our printing technologies, the manufacturing cost has declined to a point to support rapid adoption. Turning into slide seven, one of our key growth markets is aerospace and defense, which has become the largest and one of the fastest growing segments within our industrial solutions business. On a full year basis, our aerospace and defense revenue which includes production printing systems, consumable materials, and custom metal parts, achieves 16% growth, and we continue to expect over 20% growth for 2026. So what technologies are required to deliver sustainable revenue growth in aerospace and defense? Well, the fastest growing and highest value portion of this market, which is where we're focused, comes from the manufacture of metal parts.

These parts can be made in one of two ways, either by metal casting or by direct metal printing. We've invested heavily in both of these technologies, and they're playing a vital role in the growth we're now experiencing in this market. In the casting process, our market-leading photopolymer printing technology is used to manufacture complex cores and shells for high-performance cast metal components. While our direct metal printing systems, which are known for outstanding environmental control and precision, are used to manufacture high-value metal parts directly from powder using materials such as titanium and nickel-based superalloys. Indeed, an increasing range of advanced aerospace and defense applications can only be made by direct metal printing due to the complexity of the designs needed for today's applications. This is why we have maintained our R&D investments in this area even through these challenging periods. Without this suite of technologies, a company simply cannot participate in the high-value end of the market. From a customer standpoint, in aerospace and defense, we define three phases of growth. First is the development of a specific process to manufacture a customer's key components. Second is an offer of metal part production at a load intermediate volume that allows the customer to directly scale from the initial test and manufacture the system to full-scale production. And then the third, the sale of the complete printing systems that allow a customer to further scale manufacturing to high volumes. This approach to aerospace and defense, which has been under intense development for the last three years, is proving to be very attractive to our customers. and is a key in sustaining the growth we're now enjoying. From a geographic standpoint, we're taking this approach through our operations in Littleton, Colorado, for the U.S. market, in Leuven, Belgium, for our European market, and through our Saudi Arabian joint venture, NAMI, for our growing demand in the Middle East. Each of these has very similar capabilities to serve their regional customer base. And as a final comment, this three-phase customer approach is the same one we've used very successfully in our healthcare business for many years, which has given us the operating model and the quality infrastructure to make it work at scale in this adjacent market. So because aerospace and defense is a very broad market, many folks are asking, what are the key focal areas for us? The ones we're gaining the most traction and look to be the most sustainable in the years ahead include satellites, naval and marine applications, aircraft and rockets, and flight systems. More specifically, in satellite systems, our technology is being used to provide antenna arrays, waveguides and filters, as well as numerous lightweight structural brackets. This is a rapidly expanding market as satellite communication is proving essential in many areas of the world. For naval applications, submarines are often leading the way as our printing technology provides high-reliability hydraulic fittings, piping, and valves, as well as advanced turbo machinery and pumps, all manufactured from very special materials that are resistant to the extreme environments that these boats encounter. For aircraft and drone applications, our printing systems are most often used for critical aerodynamic parts such as winglets, fairings, and ducts, structural elements and airframes, rotor blades and stabilizers and air propulsion components, including complex turbine components. In addition to the printing system themselves, recurring revenue in aerospace and defense comes from material pull-through, which in this case includes both polymer resins used in casting workflows, as well as finished parts consumed by customers at the early stages of full-scale manufacturing. Casting processes in aerospace and defense have been critical for decades. but they've assumed a new and even higher level of importance in the most advanced rocket and aero propulsion systems being introduced today. Interestingly, this acceleration has been driven not only by enhanced component performance requirements, but also in simplifying complex assemblies to reduce part count, and therefore the cost of new propulsion systems. As a leader in this field, we've benefited from this expansion in 2025, and expect this momentum to continue, particularly as the number of rocket launches increase substantially in the years ahead. Slide eight. As I mentioned earlier, expansion in naval and marine applications is very exciting and is in part why we're expanding our manufacturing efforts tied to design and qualification of naval components for our U.S. customers. For example, in shipbuilding, we're collaborating with Huntington Ingalls to enable the first-to-market direct-printed copper-nickel alloy solutions for naval components, dramatically shortening production times, often from months to days, in addition to providing design flexibility for

enhanced performance. These materials are critical to performance in seawater environments, but like so many specialized alloys, they're very difficult to manufacture using traditional methods. Direct metal printing from powders solves this problem, and provide system designers flexibility in next-generation componentry. This early success has resulted in increased volumes within our parts manufacturing as we design and qualify parts, as well as the transfer of that technology to Tier 1 suppliers to the U.S. Navy through the sale of our metal printing systems. Slide nine. As we look toward the future, we also expect recent provisions in the National Defense Authorization Act, or NDAA, which restrict foreign source 3D printing systems for the Department of Defense programs, will create additional tailwinds for our business as demand shifts to domestic suppliers. Having positioned ourselves well through sustained investments in metal-related technologies for aerospace and defense markets over the last several years, we remain confident in our ability to deliver on our 20% growth target in this segment in 2026. Strategically, We have very little exposure to lower-end applications, such as jigs and fixtures used in factories, an area we believe will be under increased pricing pressure from non-U.S. suppliers in the years ahead. Instead, our growth will be led by expansion in the use of 3D printing for metal components. Manufactured by either casting, where printer sales and material consumption drives revenue and profit margins, or by direct metal printing, where part sales followed by printer sales and service provide similar financial benefits. In terms of key applications, they rely within satellite, naval, and aero propulsion systems, as well as the expanding use of sophisticated flight and weapon systems in unmanned aerial vehicles or drones, as they're commonly referred to. To address our anticipated growth in aerospace and defense, we recently announced a major expansion of our U.S. facility in Littleton, Colorado. We're adding up to 80,000 square feet to increase our application development, process qualification, validation, and production scale manufacturing capacity. This positions us to capitalize on the growing demand for secure U.S.-based manufacturing for national security and space applications and effectively leverages our quality and manufacturing infrastructure that also support our healthcare business. Moving next to slide 10. Our second key focal area is personalized health services, or PHS, which realized double-digit growth once again in 2025, becoming our largest healthcare segment. And we continue to build on our market-leading position with new personalized applications, materials, and printing technologies. In 2025, we reach new levels of care by providing more than 18,000 personalized planning cases, boosting our total to over 400,000 patients. We provided over 260,000 customized inpatient implants, all of which required regulatory approval and a meeting of strict quality standards. And we raised our total FDA and CE mark device count to over 100. We're very proud of this business and the impact it has on patients' quality of life each day. Our sustained growth in this segment is driven by our innovation in cost-effective personalization in cranial maxillofacial, or CMF, procedures through our partnership with Stryker. Typical applications here include jaw and cranial procedures, as well as reconstruction in the head and neck regions utilizing our FDA-cleared titanium metal implants, as well as our medical-grade peak material and implants. The latter innovation has opened an entire new set of applications, due to Pete's unique capability to offer bone-like properties, excellent biocompatibility, and transparency to radiation, such as those needed for x-rays and for oncology treatment protocols. Our ability to work directly with surgeons on all stages of treatment, from planning and modeling of a surgical procedure, to providing custom surgical guides, to improve precision and speed of an operation, to printing customized replacement segments of bone for long-term use in a patient's body has built an exceptional foundation for our expanding orthopedic business. We've evolved not only our printing technologies, but also our operational capabilities needed to expand our markets, which now include not only pre-planned surgical procedures, but also rapid response trauma cases and highly complex oncology cases involving bone cancer and, at times, a related need to treat the surrounding tissue. To keep our focus on the leading edge of patient treatment, we've developed unique point of care embedded collaboration teams at numerous medical research hospitals in the U.S. and Europe. These teams are bringing our most advanced medical technology directly to surgeons for their integration in the most challenging new cases. This gives us direct insight into the value that our metal and polymer printing solutions can bring to future

patient treatment and services that are needed to guide our future investments. We expect our strong pipeline of new applications and shortened response times to fuel continued growth in PHS in 2026 and beyond. As one example, we believe that our recently received FDA clearance for our VSP solutions for skeletally mature adolescents will help accelerate adoption in what was previously a case-by-case compassionate use protocol. So now turning to slide 11. In our dental business, we began shipments of our commercial NextDent Jetta denture platform solution for the U.S. market in the fourth quarter. Our unique multi-material monolithic denture is not only a beautiful product, distinctive in its durability and wear resistance, that is increasingly praised by patients for its comfort and fit. This not only improves the patient's quality of life, but also reduces chair time for the dentists and often a need for repeated visits to adjust the fit over time. Expanding upon our initial offering, just in February, we announced a broad range of available gum shades to more accurately match the diversity of patients' natural gum colors in the US population. Looking to the addressable market, In addition to FDA approval in the United States, we now have clearance in New Zealand, Colombia, and Chile. We expect to achieve full European clearance this summer, with additional South American markets coming online in the second half of the year and most of our target markets in Asia next year. Many investors have asked about the size of this dental opportunity, so let me take a moment to speak to it. In the United States, approximately 32 million people wear dentures. That's about 10% of our population, and roughly 12% get new dentures each year. Globally, more than 180 million people wear dentures, and approximately 13.7 million denture sets are produced each year to address this market. Due to aging populations worldwide, this number is growing rapidly. The vast majority of these dentures are custom-made with slow, analog processes, and in large part by hand craftsmanship. With the advent of digital workflows and with our new jetting technology and the ability to make beautiful, comfortable, custom single-piece dentures in a cost-effective manner close to the dentist and their patients, we believe over time we'll convert the large majority of this manufacturing to 3D printing, just as it has with clear aligners today. We also believe that this will result in annual recurring revenue opportunity of over \$400 million globally for Simply Materials alone. From a competitive standpoint, our solution delivers an exceptional ROI for our customers, enabling faster production, a reduction in manual labor on the order of 40 to 70%, and one-day turn-around compared to five days for traditional methods. This results in a faster, more cost-effective, and highly scalable alternative to traditional denture fabrication, enabling both an outstanding patient experience and a strong return on investment for dental labs that provide these products to dental professionals each day. While still in its earliest stage, given the pace of adoption that's possible in the dental industry, I predict this will become one of the largest revenue streams in our company in the years ahead. It's simply a matter of adoption rate at this point. Moving to the next slide, slide 12. In closing, the stabilization of our core markets combined with our cost reduction efforts is enabling us to invest in new growth opportunities that are now opening before us, leaving us more excited about the year ahead than we have been in some time. Moving to slide 13, before I turn it over to Phyllis for a recap of our financials, I want to take a moment to acknowledge our founder and chief technology officer, Chuck Hall, who was recently named by Forbes Magazine as one of America's top 250 greatest innovators. Chuck's been honored by countries and organizations around the world for his past accomplishments, and yet I believe his greatest achievements are still yet to come as he works closely with the visionary Dr. Martine Wachtblat of United Therapeutics to develop the world's first 3D-printed human lung. Two weeks ago, I had the honor of accompanying Chuck to the Lake Nona Impact Forum where he and Martin addressed a standing room only crowd on the Lung Program. I, along with the rest of the audience, stood in admiration of the progress that's been made and the impact on the world that is anticipated when this is ultimately successful. On behalf of all of my colleagues at 3D Systems and those millions of people around the world that have been and will be impacted by Chuck's innovations, I want to say a heartfelt thank you to him for his dedication and his contributions to all mankind. I look forward to the documentary on Chuck's life that will be selectively aired this summer and extended audiences everywhere in early 2027. So, with that, I'll now turn it over to Phyllis.

Thank you, Jeff, and good morning, everyone. Before I begin reviewing our fourth quarter results, I'd like to remind you that we completed the divestiture of our Geomagic software business on April 1, 2025. Throughout today's call, I will reference both reported results and adjustment comparisons that exclude GeoMagic to provide a clear apples-to-apples comparison of our performance across periods. Additionally, in the fourth quarter of 2024, we recorded a one-time regenerative medicine accounting adjustment that reduced revenue by \$8.7 million due to a change in estimate. I will reference this accounting adjustment when discussing certain prior year comparisons. I would like to start off by highlighting a few of our key accomplishments in 2025. We have been strongly focused on driving expense reductions while also supporting new product launches, strengthening our balance sheet by reducing debt, and improving operational excellence and cost discipline. These actions have enhanced the strength of our core business while allowing us to invest in new growth opportunities that are now beginning to deliver results. I will begin with revenue for the quarter, turning to slide 15. Fourth quarter consolidated revenue was \$106.3 million, an increase of 3% year-over-year, adjusting for GeoMagic. When further adjusting for the regenerative medicine adjustment impacting prior year quarter, consolidated revenue declined 5%. The year-over-year decrease was primarily driven by softness in industrial printer and materials demand, which was partially offset by double-digit growth across our priority markets, including both PHS and aerospace and defense. Now to slide 16. As we manage revenue headwinds in the first three quarters of the year, we saw solid strengthening in the fourth quarter, reflecting not only normal seasonality, but also what we believe to be a return to growth as we exit 2025 and begin 2026. We believe the sequential improvement is driven by returning customer demand and our focus on priority markets that continue to accelerate the adoption of additive manufacturing. With that summary, I will now walk through our sequential revenue growth for the quarter. Fourth quarter consolidated revenue increased 16% sequentially from the third quarter, driven by growth in new printer system sales and increased materials consumption. Within our segments, industrial solutions revenue was \$55.8 million, an increase of 15% sequentially. This growth was driven by continued strength in aerospace and defense, as well as higher new printer sales within our consumer and markets, including increasing demand for our new NGP printer for jewelry applications. Healthcare solutions revenue of \$50.5 million grew 18% sequentially. This increase was primarily driven by the strengthening of dental material sales within the quarter and the continued positive performance of our PHS business. Now moving to slide 17. In reviewing 2025 performance, the additive manufacturing industry faced strong macroeconomic headwinds impacting customer spending. As a result, we realized a decline in our year-over-year revenue. For the full year 2025, consolidated revenue was \$387 million. When adjusting for the divestiture of Geomagic, revenue declined 7% year-over-year, or 9% when adjusting for both Geomagic and the prior year regenerative medicine adjustment. Turning to slide 18. For the fourth quarter, non-GAAP gross margin was 31%, up 3% when adjusting for Geomagic and down 2% when adjusting for both Geomagic and Regenerative Medicine. For full year 2025, non-GAAP gross margin was 34.3%, down 70 basis points when adjusting for Geomagic and down 2 percentage points when adjusting for both Geomagic and Regenerative Medicine. Non-GAAP gross margin decline over the prior periods was primarily driven by lower sales volume and less favorable product mix in the current quarter. Moving to slides 19 and 20. We continue to see the positive impact of our cost reduction initiatives, both in the fourth quarter and for the full year 2025. In the fourth quarter, non-GAAP operating expenses were \$43 million, down 23% or \$13 million from the prior year period when adjusting for GeoMagic. For the full year, non-GAAP operating expenses were \$196 million, a reduction of 19% or \$46 million year-over-year when adjusting for GeoMagic. We remain keenly focused on executing the cost reduction initiatives we have previously outlined. Actions already underway, and that will be complete by the first half of 2026, include optimizing our organizational capacity, streamlining our facilities footprint, and reducing expenses across our business. To date, our cost reduction and efficiency programs have delivered approximately \$55 million in annualized savings completed in 2025, exceeding our target of \$50 million. Looking ahead to the first half of 2026, our cost savings initiatives

will remain closely aligned with the company's 2026 priorities, ensuring we focus on investments on the products and markets with the strongest opportunity for both growth and profitability. Moving to slide 21 to finalize the P&L. Adjusted EBITDA for the fourth quarter was negative 5.3 million, an improvement of 17 million compared to the prior year when adjusting for GeoMagic. For the full year 2025, adjusted EBITDA was negative 45.4 million, an improvement of 31 million when adjusting for GeoMagic. Adjusted EBITDA improvements were primarily driven by the company's cost reduction initiatives, which delivered meaningful expense reductions throughout 2025. Full year 2025 non-GAAP loss per share was 37 cents, an improvement from a loss of 62 cents in the prior year period. Now moving to slide 22 for a review of the balance sheet. We ended the quarter with \$97.1 million in total cash consisting of \$95.6 million in cash and cash equivalents and \$1.5 million in restricted cash. During the quarter, we executed an equitization transaction to retire the majority of our debt scheduled to mature in the fourth quarter of 2026. As a result, only \$3.9 million of that debt now remains outstanding, with the remaining \$92 million scheduled to mature in 2030. As we move to 2026, my priorities remain focused on continuing to optimize our cost structure while working closely with the business to prioritize the key growth markets. Lastly, I'll turn to slide 23 for an update on the company's 2026 outlook. Given the current geopolitical environment and its potential impact on near-term macroeconomic conditions, we believe at this time it is appropriate to limit financial guidance the first quarter of 2026. We expect revenue to be in the range of \$91 million to \$94 million and adjusted EBITDA to be within the range of a loss of \$5 million to a loss of \$3 million for the quarter. Key contributors to our first quarter performance include continued cost management discipline, consistent execution of our core business, strong performance in our priority markets, and positive momentum in product sales driven by recent printer launches. We thank you for your time and continued support of 3D Systems. We will now open the line for questions. Operator?

OPERATOR Operator

Thank you. And I'll be conducting a question and answer session. If you'd like to be placed in the question queue, please press star 1 on your telephone keypad. A confirmation tone will indicate your line is in the question queue. You may press star 2 if you'd like to remove your question from the queue. One moment, please, while we poll for questions. Our first question is coming from Jim Rusciutti from Needham & Company. Your line is now live.

JIM RUSCIUTTI Analyst, Needham & Company

Hi, good morning. Phyllis, I may have missed it. I apologize. But did you give any color as to how we should be thinking about operating expense at the seasonally weaker Q1 just versus Q4?

PHYLLIS NORDSTROM Interim CFO

Yeah, I think operating expenses, you know, remember Q1 is seasonally more higher for us in terms of spend. So when you look for 2026, I'd say look for slight increases in Q1 and Q2 with a pretty steep drop off as we get into Q3 and Q4 to normalize a little bit less year over year than what we had in 2025.

JIM RUSCIUTTI Analyst, Needham & Company

I appreciate that. And just how much of that industrial business is currently being derived from A&D? And Jeff, you highlighted several drivers in that A&D business. How balanced are these revenue streams in A&D, or is it more concentrated in any one area?

DR. JEFFREY GRAVES President and CEO

So on your last question there, Jim, it's pretty diverse. The four areas I outlined, and I know they're still very broad areas, so I'd try to give some more concrete examples. But those four areas are all strong. And, you know, A&D is such a broad area, you could find other areas to focus on, too. For us, the four areas I mentioned are we know we

have a good technology base, we have a good runway in, and we're doing well in. So, You know, I really like the naval applications. They're very well, you know, printing these more exotic materials that are resistant to seawater is great. Some of the lightweight structures for rockets and planes, terrific stuff. Titanium, the more exotic aluminum alloys, things like that that are required for those are super. The propulsion systems themselves for rockets, particularly interesting. And then also aero propulsion for engines. So those are all really exciting areas. In terms of total revenue, have we broken that out?

PHYLLIS NORDSTROM Interim CFO

We have not, but it is one of our top industrial segments. It's on track to be our largest industrial segment or market within the 2026 fiscal year. So it continues to produce sizable and meaningful revenue both on the top and bottom line for industrial segments. Its growth is about 16% year-over-year from 24 to 25, with really heavy sales coming from both printers and parts in 2025 as well.

DR. JEFFREY GRAVES President and CEO

And, Jim, certainly the added capacity we're putting in in Littleton right now should be done by early summer, and we'll be phasing that in the second half of the year. But it reflects the growing demand we see broadly from DOD-driven applications. working really with their tier one suppliers to those defense systems.

JIM RUSCIUTTI Analyst, Needham & Company

Thanks very much.

DR. JEFFREY GRAVES President and CEO

You're welcome. Okay.

OPERATOR Operator

Thank you. Our next question today is coming from Greg Palm from Craig Callum. Your line is now live.

GREG PALM Analyst, Craig-Hallum Securities

Hey, good morning. Thanks for taking the questions. Going back to Q4, just a couple of questions on the results in terms of the upside on revenue. I guess what outperformed relative to expectations back in, I guess, November. And on gross margins specifically, can you just maybe unpack that a little bit more? I think it was negative mix, but that was down sequentially on much higher revenues. So maybe just a little bit more color there.

PHYLLIS NORDSTROM Interim CFO

Sure, so just looking at Q4, I think we over-indexed really in aerospace and defense. The mix for aerospace and defense was on the margin side, but then a little bit of upside on the top line revenue was strong. PHS and our liner materials were strong for the quarter. We also had an upswing in our healthcare parts for the quarter as well, which helped contribute to the excess revenue that we anticipated when we first set guidance. I think we were pretty spot on. On the margin side, we heavily were weighted towards printers in Q4. We had several new printer launches in the back half of the year. Printers just carry a lower margin, so I wasn't too surprised in seeing that. But the overall just decline in revenue year over year holistically was what we'll address next year as we start to look at margin pull through from some of the new printer launches and just the increase in volume overall for the year.

GREG PALM Analyst, Craig-Hallum Securities

Okay. And just thinking about Q1 specifically, I just want to make sure I'm understanding this right. So you're guiding revenue down quite a bit sequentially. You're guiding OPEX up a little bit. And, you know, improved EBITDA. This is all

sequentially. So that implies, I mean, a massive boost in gross margin from Q4 to Q1. I just want to make sure that's what the guide implies.

PHYLLIS NORDSTROM Interim CFO

So I'll correct one item. We are pretty consistent with the prior year if you exclude Geomagic. So Geomagic had high revenue in Q1 of 2025. That was the last quarter in which we had Geomagic. So we replaced that revenue with other sources for Q1 of 2026, and we had very strong operational growth. expense savings that are going to be coming through Q1 as well. So while I said it's a seasonally higher spending, our overall reductions are going to see meaningful results as we report results for Q1. On the margin side, I think we're doing things to protect the margin in terms of just additional cost savings activities as well as anticipated better pricing in Q1. So both of those things I think should help to the overall adjusted EBITDA improvement you're seeing.

GREG PALM Analyst, Craig-Hallum Securities

Okay, but I guess I'm looking from Q4 to Q1, and I just want to make sure. Based on what you've said, it implies gross margin is going to improve, I mean, meaningfully quarter over quarter. I just want to make sure that's what the guide implies.

PHYLLIS NORDSTROM Interim CFO

Yeah, again, I'd say you have to look at it. We certainly are anticipating gross margin improvement in Q1, but we're also anticipating, you know, continued execution of our operational cost reductions in the quarter. The mix of both of those will drive the adjusted EBITDA improvement. So we didn't give specific guidance on those two. Again, product mix as we close out the quarter will really sort of align on that, but overall we anticipate gross margin improvement for sure.

GREG PALM Analyst, Craig-Hallum Securities

Okay. Okay, thanks. And then just – cognizant of the fact that you're only given one quarter guidance at this point. I mean, if we just think about, you know, some of the segment, you know, Andy, you've talked about 20% growth this year, you know, personally it's health that's growing strongly. It seems like dental's improving. You're still guiding the Q1 revenue declines on a year over year basis, just modestly at the, at the midpoint. I mean, it, Is that just a weak spot? You know, for the year, I'm just trying to sort of reconcile a lot of these sort of growth areas to the Q1 guide, which will suggest a revenue decline on a year-over-year basis.

DR. JEFFREY GRAVES President and CEO

Yeah, Greg, it gets very hard to call the actual inflection point. So we're just trying to, you know, I love the direction that it's going. It feels good after a couple of tough years. Things are moving in the right direction. We're just trying not to get too far ahead of ourselves. So, yeah, there's no particular weakness or something that we expect in Q1 to swamp results or anything. It's continuing the trend. So, A&D should grow consistently. The rest of industrial is always a wild card, to be frank with you. It's much more depending upon how people feel about the world. And as you know, you know, it's a bit crazy out there right now. Oil is way up and stuff. So when it comes to discretionary spending on the part of consumers, that's always a concern for me when it comes to, you know, our more consumer-oriented business. You know, with that said, you know, it looked really good in Q4. It looks like it's coming back. We're launching some great new products there. It's just a more volatile, consumer stuff's a bit more volatile. So I love AMD. I've got high confidence there. We're going to continue the trend. Healthcare, very stable because most of that stuff's not optional with the exception of aligners. Some people put off aligner purchases when things get harder. But our increased exposure to dentures is a good thing. That's going to continue throughout the year to grow. And

certainly PHS is a very good thing because a lot of those procedures are really not optional procedures for orthopedics. So we're just trying, you know, we're reintroducing some guidance. We're trying to be prudent about it. I'm not going to say it's conservative. We're just trying to be prudent about how far out of our skis we get in terms of the future.

GREG PALM Analyst, Craig-Hallum Securities

Yeah, fair enough. Okay, thanks.

DR. JEFFREY GRAVES President and CEO

Thanks, Greg.

OPERATOR Operator

Thank you. As a reminder, that's star one to be placed in the question queue. Our next question is coming from Karen McCabe from Cancer Pistoletto. Your line is now live.

KAREN MCCABE Analyst

Hi, it's Karen on for Troy. I just had a couple of questions. I guess the first is, you know, you had in the past a lot of R&D spend to refresh the product line and bring out a lot of new products that are now, you know, showing up in the results, especially in this quarter. Given kind of your focus areas of A&D and personal health care product, the personal health care area, sort of what's your, in maintaining some investments, kind of based upon 4Q R&D, kind of what's your outlook for R&D going forward?

DR. JEFFREY GRAVES President and CEO

So it's in the OPEX number here. We don't really break it out. We've been able – so we had very strong spending. If you look at R&D spending, we had very strong spending for about three years to refresh our product lines. And what you're seeing now enter the market is reflective of that investment. And, you know, it was a difficult time with sales being off to maintain that continuity, but it was critically important to us because when these markets turn, you've got to have a fresh portfolio ready to go, and we do. So we've been able to throttle back on R&D spending to some extent as we launch those new products, because the next platform will be out, you know, anywhere from a year to three years, depending on the market. So you're able to throttle back a little bit on R&D spending. It's kind of a natural cycle a company goes through. And we went through heavy periods. So heavy period at a difficult time of sales, which is why OPEX was a drag for us. It was certainly reflected in the bottom line financials and sales. and our cash position, we invested a lot for the future. I'm really pleased now that we're on the backside of that, that we did it, and we're well positioned as a market's rebound. It's just the world's a little bit crazy right now still, so we just want to be cautious about sales, make sure we don't get out in front of the market on it, but I feel like we're very well positioned. So R&D spending for us should be, as a part of OPEX, will be coming down to some extent But also, Karen, one thing to remember is we have the broadest technology portfolio in the entire industry. Okay? We have metals and polymers. And in polymers, we have five significant platforms. That's wonderful from a customer standpoint. We can service that and we can grow. It's a burden from an R&D standpoint. So when you look at our R&D burden, fundamentally, it's heavier than most because of the breadth of our technology. But in a growth environment, it positions you very well to serve the customer. So, you know, I feel very good about our position. We are able to throttle back a little bit now because we were doing every refresh in parallel for three years. Now it's coming down to, you know, one here and one there, and we can get more in the rhythm of it. So it helps us with our OpEx management here in 26th.

PHYLLIS NORDSTROM Interim CFO

But I would say we have not excessively cut R&D. We certainly have pared it back. We have a sizable R&D budget for 2026 that's in the overall OpEx budget. It's right-sized to the current portfolio that we have and the product investment priorities that we have. You'll definitely see that come in. It's still double digits. It's lower double digits than what it has been, but I think fits the product roadmap and new product launches we have for next year.

DR. JEFFREY GRAVES President and CEO

And, Karen, a great example of the strength of that approach is when you look at metal parts for aerospace defense, there's two ways that they're fundamentally made broadly. One's casting where they use our 3D polymer printers for as an integral part of, and one is direct metal printing for the more difficult alloys or the higher performing components. Both of those are in demand in the aerospace defense market. And in both cases, we have launched new product upgrades over the last 12 months that are fabulous. And that's why we're growing in aerospace and defense. And it's the high value end of the market. That's where you want to be.

KAREN MCCABE Analyst

And I guess, okay. Yeah. And my other question was just on speaking of aerospace and defense, you know, everybody kind of is looking at aerospace defenses as a growth area because, you know, geopolitical and kind of the assumption that there'll be increased spending in that area. But, even with aerospace and events, how much of it is really kind of the companies and the government wanting to be more efficient and using additive to maybe change the method of producing the parts? So you may not need a new program, but maybe... you know, and not be tied to that procurement budget, really kind of saying, well, we have this budget and we have to be smarter about it and may not expect the growth or politics to get the growth eventually. How much of it, you know, is sort of really kind of rethinking and being more efficient and reducing times and things like that and really using that.

DR. JEFFREY GRAVES President and CEO

You touched on a good point, Karen. So part of the demand in aerospace and defense is just new weaponry coming out and new vehicles to deliver that weaponry. So you've got the advent of drones. You've got new generations of naval ships. So part of it is the natural evolution of technology that's drawing in because additive is really good at those things. The other part of it, I'd say there's two pieces. One is cost savings. By moving from an assembly of many pieces to a casting that's a single-piece casting, you can simplify the system and get cost out, out of the manufacturing process, out of the finished product. That's significant. When you look at a modern rocket engine compared to three years ago, and just look at the amount of complexity in the engine then versus now, it's amazing simplification. And at the same time, they're taking performance up. So that's available through 3D-printed cores and shells for castings, And then on direct metal applications, you've got the added benefit of a dramatically reduced cycle time for manufacturing and safer supply chains, more localized, more close to home, and that can respond much more quickly. The example I put in the opening statements about the reduction for some of these naval components going from 12 to 15 months production time with traditional manufacturing to literally a couple of weeks to produce the same component out of the same materials. So you've got higher performance, you've got cost savings that are coming together in aerospace and defense that's really transforming the industry. So, yes, overall volumes are up, demand is up, but you've got some key drivers that are highly sustainable in the kinds of parts we're working on. Okay?

KAREN MCCABE Analyst

Great. Thank you so much.

OPERATOR Operator

You're welcome. Thank you. We reach the end of our question and answer session. I'd like to turn the floor back over for any further closing comments.

DR. JEFFREY GRAVES President and CEO

Thanks, Kevin. So I'd like to thank you all for participating in the call today. We look forward to updating you on our progress once again after the close of the first quarter.

OPERATOR Operator

Have a great day. Thank you. That does conclude today's teleconference and webcast. You may disconnect your line at this time and have a wonderful day. We thank you for your participation today.